

PRACTICAL PROBLEMS

Single Column or Simple Cash Book

1. Prepare Cash Book from the following transactions for the month of April, 2025:

2025		₹
April 1	Commenced business with cash	2,25,000
April 2	Purchased furniture	30,000
April 5	Bought goods for cash	80,000
April 9	Cash sales	50,000
April 14	Paid cash in bank	70,000
April 18	Purchased goods from Rajesh	25,000
April 21	Sold goods to Mohan	40,000
April 25	Received cash from Mohan	15,000
April 30	Paid Rent	4,500

2. Enter the following transactions of Kapil, Delhi in a Single Column Cash Book and balance it:

2025		₹
April 1	Kapil started business with capital	3,00,000
April 2	Purchased furniture for cash	1,50,000
April 3	Purchased goods for cash	30,000
April 5	Paid freight	500
April 7	Sold goods for cash	28,000
April 10	Paid to Mohan	20,000
April 15	Cash sales	10,000
April 20	Paid wages	10,000
April 25	Purchased goods from Rajan on credit	20,000
April 31	Paid rent by Cheque	5,000

3. Prepare Simple Cash Book from the following transactions of Manish, Delhi:

2025		₹	2025		₹
April 1	Manish commenced business with cash	80,000	April 17	Paid for stationery	200
April 3	He bought goods	50,000	April 18	Paid for office furniture	3,000
April 5	Sold goods for Cash	40,000	April 21	Received from Kailash Chand	6,800
April 6	Received cash from Manohar	3,600	April 22	Paid for advertising	1,008
April 9	Paid into Bank	30,000	April 25	Purchased postage stamps	80
April 13	Paid cash to Shekhar	2,150	April 28	Paid Rent	1,120
			April 30	Paid electricity charges	150

4. Prepare Simple Cash Book of Sri Gopal Bhattacharya of Kolkata from the following transactions:

2025		₹
April 1	Sri Bhattacharya commenced business introducing cash ₹ 60,000 and ₹ 1,50,000 by taking a loan from the Allahabad Bank.	
April 4	Purchased following assets for business: Computer ₹ 16,000; Furniture ₹ 18,500 and Machinery ₹ 32,000, paid by cheque.	
April 6	Purchased goods of ₹ 40,000 from Bhushan, half of the value paid in cash	4,000
April 8	Paid wages for installation of Machinery	1,900
April 12	Computer repair charges	15,000
April 15	Paid wages	150
	Purchased Postage Stamps	2,700
	Paid for stationery	
April 19	Sold for cash half the goods purchased from Bhushan to Anil at a profit of 25% and allowed him Trade Discount of 5%.	20,000
April 22	Cash withdrawn for personal use	350
April 24	Payment to carpenter for repairs to personal property	1,800
April 26	Paid for medical expenses of Smt. Bhattacharya	2,000
April 30	Paid for shop rent	

5. From the following prepare Single Column Cash Book of Karan, Kolkata and post them into ledger accounts:

2025		₹
April 1	Cash in Hand	6,400
April 3	Received Cash from Anupama	1,00,000
April 4	Paid into Bank	80,000
April 5	Received from Bhumika as commission	6,000
April 6	Paid Wages	30,000
April 7	Withdrawn from Bank for expenses	30,000
April 8	Purchased goods from Ashok on credit	10,000
April 9	Cash sales	10,000
April 11	Drew Cash for domestic purposes	10,000
April 12	Purchased furniture	4,000
April 13	Paid to Ruma	1,200
April 14	Paid to Ganguly Brothers for office fan	1,500
April 15	Paid own life insurance premium from office cash	800
April 16	Purchased stationery	1,500
April 18	Remitted to Raman	900
April 19	Paid Trade Expenses	100
April 20	Received interest from Gupta & Co.	500
April 30	Deposited all cash into bank in excess of	2,000

Triple-column (or Three-column) Cash Book

6. How will be the following items recorded in a Three-column Cash Book?

		₹
2025		
April	1 Paid into bank	50,000
April	2 Withdrew for private expenses	5,000
April	3 Withdrew from bank	10,000
April	4 Withdrew from bank for private use	8,000
April	5 Placed as Fixed Deposit at bank	10,000

7. Enter the following transactions in the Triple-column Cash Book of M/s Gyan Store:

		₹
2024		
June	1 Cash in Hand ₹ 800, Bank overdraft ₹ 5,700	
June	7 Received a cheque from Bharati, discount allowed ₹ 150	3,250
June	9 Deposited the above cheque into Bank	
June	15 Cheque received from Panna Lal	1,200
June	20 Bharati's cheque returned dishonoured	
June	28 Panna Lal's cheque was endorsed to Kamal	
June	30 Income tax paid by cheque	150

8. Record the following transaction in Triple-column Cash Book and balance the book on 31st March, 2025:

		₹
2025		
March	1 Cash in Hand	12,750
	Cash at Bank	72,400
March	4 Received from Asha cash ₹ 1,200 and a cheque for ₹ 3,200, allowed discount ₹ 400	
March	7 Paid salary to staff by cheque	25,600
March	9 Withdrew cash from bank for office use	21,900
March	12 Interest paid by bank on bank balance	1,200
March	16 Purchased furniture in cash	16,500
March	21 Paid Mohan & Co. by cheque, discount received ₹ 100	10,900
March	24 Proprietor withdrew from office cash for his personal use	11,600
March	29 Sold goods to Manoj for cash	14,800
March	31 Deposited office cash into bank	21,200

9. Prepare Triple-column Cash Book of Bimal, Lucknow from the following transactions:

		₹			₹
2024			2024		
June	1 Cash Balance	5,000	June	20 Received a cheque from	
June	1 Bank Balance	17,500		A. Mukherjee and sent it to bank	6,000
June	5 Cash received from sale of shares	5,000	June	21 Drawn from Bank	5,000
June	6 Cheque received as advance		June	29 Paid office salaries in cash	4,000
	against sale, paid into bank	50,000	June	30 Sold goods in cash and banked	
June	7 Paid S. Bose by cheque	12,500		the same	8,000
	Discount received	200	June	30 Paid rent by cheque	1,000
June	9 Paid wages in cash	3,000	June	30 Paid into Bank	7,500

10. Prepare Three-column Cash Book from the following particulars:

2025		
April	1	Cash in hand ₹ 4,000 and in bank ₹ 25,000
April	2	Discounted a bill for ₹ 12,500 at 1% with bank
April	5	Bought goods by cheque ₹ 20,000
April	8	Bought goods for cash ₹ 500
April	10	Paid ₹ 15,000 by cheque against a bill drawn upon us
April	12	Paid trade expenses ₹ 250
April	17	Paid into bank ₹ 2,500
April	18	Mohan, who owed ₹ 500 became insolvent, and paid 50 paise in a rupee
April	20	Received ₹ 250 from Govind and allowed him discount ₹ 5
April	21	Paid ₹ 625 to Rohan and he allowed discount of ₹ 10
April	22	Withdrew from bank ₹ 500
April	24	Received ₹ 5,000 from Ram against a Bill of Exchange and deposited the same into bank
April	25	Withdrew from bank for personal expenses ₹ 250
April	26	Sold goods for cash ₹ 250
April	27	Received cheque for goods sold ₹ 22,500 and deposited the same into the bank
April	28	Received repayment of a loan ₹ 7,500 and deposited out of it ₹ 6,250 in the bank

11. Record the following transactions in Cash Book of Satyabrat Sen, Kolkata and post them in the ledger accounts:

			₹
2025			
April	1	Cash in Hand.....	50,000
April	2	Opened a Bank Account with cash.....	30,000
		Received from Achintya, Allowed him discount ₹ 250.....	4,000
April	3	Paid to Jayanta (by cheque).....	500
		Purchases made in cash from Bijoy.....	4,000
		Paid Rent by cheque for March, 2025.....	3,000
		Withdrew from Bank for office use.....	5,000
April	4	Cash sales.....	10,000
		Received cheque from Ajoy, allowed him discount ₹ 350.....	200
		Paid wages.....	4,000
		Purchased Furniture and paid by cheque.....	3,000
April	5	Cash purchases.....	
		Sent to bank the cheque received from Ajoy.....	
		Withdrawn from bank for personal use.....	
April	6	Paid electricity bills.....	3,000
		Purchases made in cash from Sushil.....	500
		Cash sales to Saral.....	7,000
		Sold goods to Milan.....	12,000
		Purchased from Shibshankar.....	5,000
April	7	Received a cheque from Milan and sent it to bank.....	2,000
		Paid Railway Freight.....	3,000
		Deposited in Bank Account.....	250
			300

12. Enter into Sanjay's Cash Book the following transactions, which took place on 28th April, 2025:

- Balance brought forward from the previous day: Cash in hand ₹ 1,000 and at bank ₹ 80,000.
- Instructed the bank to issue a bank draft for ₹ 50,000 in favour of Manoj. Bank charged ₹ 100 for issuing the draft.
- Received a bank draft for ₹ 57,600 from Vijay in full settlement of ₹ 60,000 due from him. Sent the draft to the bank.
- Received a crossed cheque from Mohan for ₹ 20,000. Allowed him discount ₹ 1,200.

- (v) Endorsed Mohan's cheque in favour of Harish.
 (vi) Sent a crossed cheque for ₹ 500 in payment of school fees of Sanjay's son.
 (vii) Withdrew ₹ 5,000 from the bank.
 (viii) Placed an order with Vikas for goods of ₹ 15,000 and sent the cheque for ₹ 15,000 with order.

13. Prepare Three-column Cash Book of Vinod, Delhi from the following transactions:

		₹
2024	1 Cash in Hand	25,000
Oct.	1 Cash at Bank	75,000
Oct.	7 Bought goods against cheque	15,000
Oct.	8 Bought goods against cash	5,000
Oct.	10 Honoured our own acceptance by cheque	5,000
Oct.	14 Paid petty expenses	150
Oct.	18 Ramesh who owed ₹ 5,000 became bankrupt and paid us 50 paise in a rupee	
Oct.	20 Received cash from Manohar	7,500
Oct.	20 Allowed discount	250
Oct.	23 Withdrew from bank	4,000
Oct.	24 Paid to Ghanshyamdas & Co.	3,000
Oct.	24 Received discount	100
Oct.	25 Withdrew from bank for personal expenses	3,000
Oct.	27 Sold goods for cash	11,000
Oct.	28 Received cheque for goods sold	9,000
Oct.	29 Received repayment of a loan of ₹ 5,000 and deposited ₹ 3,000 out of it into bank	

14. Enter the following transactions in Three-column Cash Book of Ramesh, Kanpur and post them in the ledger accounts:

		₹
2025	1 Cash in Hand	53,800
Jan.	1 Balance at Bank	1,55,000
Jan.	3 Cash sales	1,39,000
Jan.	4 Credit Sales to Pratap	20,000
Jan.	5 Deposited into Bank	70,000
Jan.	6 Received a cheque from Mohan	7,000
Jan.	8 Deposited Mohan's cheque into bank	
Jan.	10 Paid to Anurag by cheque after getting discount of ₹ 200	9,800
Jan.	12 Cash purchases	26,000
Jan.	14 Withdrew from bank for office use	50,000
Jan.	15 Received a cheque from Mr. Onkar after allowing discount of ₹ 500	9,500
Jan.	19 Paid into bank Mr. Onkar's cheque	
Jan.	21 Deposited cash into bank	40,000
Jan.	25 Honoured our own acceptance by cheque	5,000
Jan.	27 Received cheque from Chandra and deposited the same into bank	10,000
Jan.	27 Mr. Onkar's cheque is dishonoured	
Jan.	29 Drew from bank for personal use	8,000
Jan.	31 Credit purchases from Surinder	10,000
Jan.	31 Paid salaries in cash	5,000
Jan.	31 Paid salaries by cheque	15,000
Jan.	31 Insurance premium paid by bank as per standing instructions	5,400

15. Enter the following transactions in three-column Cash Book of Reema, Chandigarh and find out cash and bank balances:

2025		₹
April 1	Cash balance ₹ 2,000, bank balance ₹ 24,500	
April 2	Cash sales	60,000
April 5	Deposited in Bank	50,000
April 7	Issued cheque to Sohan	10,000
April 9	Sold goods for cash	10,000
April 12	Received a cheque from National Insurance Co. Ltd. against claim lodged last year	19,800
April 14	Sold goods to Niraj for ₹ 25,000, received cash ₹ 10,000 and balance by cheque. Allowed him discount ₹ 500	
April 16	Purchased furniture and paid by cheque	10,000
April 18	Sold old furniture and received cash	10,000
April 20	Paid into bank cheque of Niraj and cash	2,500
April 22	Paid to Suman by cheque	2,500
April 26	Suman's cheque returned on technical ground and paid cash for equal amount	
April 28	Bank charged its commission	300
April 29	Bank paid insurance premium as per standing instructions	2,500
April 30	Nigam paid into bank directly, intimation received on the same day	5,000

16. Write the following transactions in the Cash Book of Premium Stores, Kolkata (Proprietor Amrit Kumar):

2025		₹
Jan. 1	Commenced business with cash	50,000
Jan. 2	Opened Bank Account and deposited cash in bank	20,000
	Purchased goods	5,000
Jan. 4	Paid wages	500
Jan. 6	Cash sales	2,000
	Purchased goods	10,000
Jan. 10	Sold goods for ₹ 4,000 and payment received by cheque which is deposited in Bank, allowed cash discount of ₹ 400 Received from Amit	5,900
	Allowed him discount	100
Jan. 15	Paid to Bhaskar	2,800
	Received discount	200
Jan. 18	Purchased goods from Kanchan	10,000
Jan. 20	Goods were destroyed during transportation, Transport Company settled the claim for ₹ 10,000 in full	
Jan. 27	Received cheque from the transport company	10,000
Jan. 28	Withdrew for office use	5,000

17. Enter the following transactions in the book of Chandrika of Chandigarh:

2025		₹
Jan. 1	Chandrika commences business with cash	1,00,000
Jan. 3	She opened a Bank Current Account with her Savings Account cheque	19,00,000
Jan. 4	She receives cheque from Kirti & Co. on account	60,000
Jan. 7	She pays into Bank Kirti & Co.'s cheque	
Jan. 10	She advanced Ratan & Co. by cheque	35,000
Jan. 12	Tripathi & Co. pays into her Bank A/c	47,500
Jan. 15	She receives cheque from Warsi and allows him discount of ₹ 3,500	45,000

Jan.	20	She receives cash ₹ 7,500 and cheque ₹ 10,000 from Kalyan against credit balance	
Jan.	25	She pays into Bank, including cheques received on 15th and 20th January	1,00,000
Jan.	27	She pays by cheque for purchases	27,500
Jan.	28	Cheque received from Warsi was dishonoured	
Jan.	30	She pays sundry expenses in cash	50
Jan.	30	She pays John & Co. in cash and is allowed discount of ₹ 3,500	37,500
Jan.	31	She pays office rent by cheque	20,000
Jan.	31	She draws a cheque for office use	40,000
Jan.	31	She pays staff salaries by cheque	30,000
Jan.	31	She pays cash for stationery	2,500
Jan.	31	She purchases goods for cash	12,500
Jan.	31	She pays Jagpal by cheque for commission	30,000
Jan.	31	She receives cheque for commission from Raghubir & Co. and pays the same into Bank	50,000
Jan.	31	Cash Sales	45,000

18. Record the following transactions in Three-column Cash Book of Ripple, Delhi:

18. Record the following transactions in Three-column Cash Book of Ripple, Delhi:			₹
2025			
March	1	Cash balance	25,000
		Bank balance	20,000
March	4	Paid insurance premium by cheque	14,200
March	7	Cash purchases of goods	15,000
		Received cash discount of 3% of purchase cost of goods	
March	8	Cash sale	15,000
		Allowed cash discount @ 2% of sale value of goods	
March	10	Cash deposited into bank	15,000
March	11	Telephone bill paid by cheque	2,000
March	14	Withdrew from bank for personal use	6,000
March	15	Withdrew from bank for official use	14,500
March	20	Received cheque from Dinesh in full settlement of ₹ 11,000 and deposited the same into bank	10,700
March	23	Cash received from Mohan	6,850
		Discount allowed	150
March	24	Stationery purchased for cash	1,220
March	24	Cheque received from Guram, allowed him discount of ₹ 250	4,500
March	28	Cheque received from Guram deposited into bank	
March	31	Cheque deposited on March 28 dishonoured and returned by the bank	
March	31	Rent paid by cheque	4,000
March	31	Paid wages to watchman in cash	3,000

It was decided that cash balance at month end in excess of ₹ 10,000 was to be deposited in bank.

19. Enter the following transactions in Three-column Cash Book of Gaurav, Delhi:

19. Enter the following transactions in Three-column Cash Book of Gaurav, Delhi.			₹
2025			
April	1	Opening Balance of Cash in Hand	1,00,000
		Opening Balance of Bank Overdraft	5,00,000
April	2	Sold goods for cash	4,00,000
April	3	Sold goods against cheque and paid into bank the same day	3,00,000
April	5	Sold goods to Reema	1,00,000
April	6	Ram was paid by cheque	78,000
		Discount received	2,000
April	7	Bought goods from Rahul, Gurugram paid him by cheque	40,000
		Salary paid to staff by cheque	2,20,000

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			3,10,000
			1,28,500
			1,500
April 10	Deposited into bank		1,87,500
April 11	Received a cheque from Suresh and paid into bank		30,000
	Discount allowed		5,000
April 15	Received from R. Kumar a cheque for a full settlement of his account for ₹ 1,95,000		1,00,000
April 18	Paid wages in cash		20,000
April 20	Bank charges		31,500
April 22	Withdrew from bank for office use		2,00,000
	Withdrew from Bank for personal use		58,200
April 25	Paid electricity bill by cheque		1,800
	Issued a cheque in favour of Sudha as advance for purchase of house of Gaurav		
April 26	Received a cheque from Amar		15,000
	Allowed discount to him		20,000
April 28	Cheque received from Amar sent to bank		
April 30	Bank collected interest received on investments		
	Paid rent for the month of May, 2025		

It was decided that at the month end, bank Overdraft balance should be nil.

GUIDE TO ANSWERS

Practical Problems

1. Cash Balance—₹ 1,05,500.
2. Cash Balance—₹ 1,27,500.
3. Cash Balance—₹ 42,692.
4. Cash Balance—₹ 15,850.
5. Cash in Hand—₹ 2,000; Cash deposited into Bank—₹ 20,900.
7. Cash Balance—₹ 800; Bank Overdraft—₹ 5,850.
8. Cash Balance—₹ 1,350; Cash at Bank—₹ 39,600; Discount Allowed—₹ 400; Discount Received—₹ 100.
9. Cash Balance—₹ 500; Bank Balance—₹ 70,500; Discount Received—₹ 200.
10. Cash Balance—₹ 2,625; Bank Balance—₹ 37,875; Discount Allowed—₹ 5; Discount Received—₹ 10.
11. Cash Balance—₹ 28,750; Bank Balance—₹ 29,800; Discount Allowed—₹ 600.
12. Discount Allowed—₹ 3,600; Discount Received—Nil; Cash Balance—₹ 6,000; Bank Balance—₹ 67,000.
13. Cash Balance—₹ 43,850; Bank Balance—₹ 60,000; Discount Allowed—₹ 250; Discount Received—₹ 100.
14. Cash Balance—₹ 1,01,800; Bank Balance—₹ 1,88,800; Discount Allowed—₹ 500 (will be reversed by passing the Journal entry); Discount Received—₹ 200.
15. Cash Balance—₹ 37,000; Bank Balance—₹ 93,500; Discount Allowed—₹ 500.
16. Cash Balance—₹ 24,600; Bank Balance—₹ 28,600; Discount Allowed—₹ 500; Discount Received—₹ 200.
17. Cash Balance—₹ 94,950; Bank Balance—₹ 19,30,000; Discount Allowed—₹ 3,500 (will be reversed being Cash Discount allowed to Warsi by passing the Journal entry); Discount Received—₹ 3,500.
18. Cash Balance—₹ 10,000; Bank Balance—₹ 22,280; Discount Allowed—₹ 1,000 out of which ₹ 250 will be reversed by passing the Journal entry; Discount Received—₹ 450.
19. Cash Balance—₹ 44,700; Bank Overdraft—Nil; Discount Allowed—₹ 10,800; Discount Received—₹ 2,000.



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